

SPAIN  
2010

**1. Overview of the tax-benefit system**

Unemployed persons are covered by two successive benefits: a contributory unemployment insurance benefit for 120-to-720 days depending on contributions, then an assistance benefit for 3-to-30 months. (The most common duration of unemployment assistance is 18 months, and for persons over 52 the duration is that necessary to arrive to the age in which he/she starts receiving the contributory retirement pension.) There is also a last resort scheme called the Renta Mínima de Inserción (Minimum Income for Insertion). Family benefits are income-related. The tax unit is the individual; nevertheless family units have the option of filing their tax returns on a joint basis. Finally, there is the programme named Programa de Renta Activa de Inserción (Insertion Active Income Programme), whose objective is to help long-term job seekers, older than 45, among other groups, to re-enter in the labour market. This programme lasts for 11 months.

**1.1. Average Worker wage (AW)**

According to the Centre for Tax and Policy and Administration, the 2010 AW level is EUR 24 785.88.

## **2. Unemployment insurance**

### **2.1 Conditions for receipt**

Unemployment benefit can be paid to a registered unemployed person aged 16-65, who is available and actively seeking work, and who did not leave his/her previous job voluntarily. Additionally, unemployed persons have to subscribe to a pledge of activity by virtue of which they commit themselves to search actively for a job and to accept a suitable job.

On all the levels of protection by unemployment either the unemployment insurance one or the unemployment assistance one and in their different categories, applicant and beneficiary workers of the benefit by unemployment are obliged to sign and comply with an a "commitment of activity", understanding by such a to look for a job actively, to accept a placement suitable and to take part in actions addressed to raise their employment, in accordance with Law 45/2002, of 12 December (Article Firstly Eleven). This condition must be gathering as a requirement to have the right to any of the benefits considered within the protection system by unemployment.

#### **2.1.1 Employment conditions**

None

#### **2.1.2 Contribution conditions**

A claimant must have contributed for a minimum of 360 days in the 6 years preceding the legal status of unemployment

### **2.2 Calculation of benefit amount**

#### **2.2.1 Calculation of gross benefit**

It is 70 per cent of reference earnings for a maximum period of 180 days, then 60 per cent of reference earnings for the remaining period of the benefits (see section 2.4 for the duration of the benefit); reference earnings correspond to the average gross earnings over the last 180 days.

The benefit is limited by a maximum and a minimum that depend on the number of dependent children below age 26. Both are expressed as a percentage of the IPREM (public indicator of incomes of many effects) from 01/07/2004, with an increment of 1/6 (proportional to bonus payment). For 2010, IPREM is EUR 621.26 per month, that is EUR 7455.14 yearly<sup>1</sup>, including in both cases the proportional part of bonus payment.

| Family type       | In per cent of IPREM* |         |
|-------------------|-----------------------|---------|
|                   | Minimum               | Maximum |
| With no dependent | 80                    | 175     |

<sup>1</sup> -. Established by Law 26/2009, of 23<sup>th</sup> December. In case of excluding the bonus payments the amounts are as follows: EUR-532.51 per month and EUR-6390.13 yearly.

|                         |                     |                      |
|-------------------------|---------------------|----------------------|
| children                | (497.00<br>€/month) | (1087.20<br>€/month) |
|                         | 107                 |                      |
| With dependent children | 664.74<br>€/month)  |                      |
|                         |                     | 200                  |
| One child               |                     | 1242.52€<br>/month)  |
|                         |                     | 225                  |
| Two or more children    |                     | (1397.83<br>€/month) |

\* With an increment of 1/6 (proportional to bonus payment).

#### 2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

The maximum and minimum unemployment benefits are reduced in proportion to hours worked in relation to the company's normal full working day.

#### 2.3 *Tax treatment of benefit and interaction with other benefits*

Normally taxable. For a person on unemployment insurance, the total social security contributions amount to 65 per cent of 4.7 per cent of reference earnings, subject to lower and upper ceilings (see section 10.3).

#### 2.4 *Benefit duration and waiting periods*

The total duration increases with contribution record. There is no waiting period; the benefit is paid 30 days per month.

| Time worker<br>contributed within<br>last 6 years<br>(in days) | Duration of<br>unemployment<br>benefit<br>(in days) |
|----------------------------------------------------------------|-----------------------------------------------------|
| 360-539                                                        | 120                                                 |
| 540-719                                                        | 180                                                 |
| 720-899                                                        | 240                                                 |
| 900-1079                                                       | 300                                                 |
| 1080-1259                                                      | 360                                                 |
| 1260-1439                                                      | 420                                                 |
| 1440-1619                                                      | 480                                                 |
| 1620-1799                                                      | 540                                                 |
| 1800-1979                                                      | 600                                                 |
| 1980-2159                                                      | 660                                                 |

|       |     |
|-------|-----|
| 2160+ | 720 |
|-------|-----|

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When the benefit is expired, in some cases is possible to receive the unemployment assistance (see point 3.)

## **2.5      *Treatment of particular groups***

### **2.5.1      *Young persons***

None

### **2.5.2      *Older workers***

None

### **2.5.3      *Others if applicable***

As from 1<sup>st</sup> June 2002, casual agriculture workers pay the contribution to Social Security for covering the contingency for unemployment and they have the right to receive unemployment benefit. The duration of the allowances depends on the period of contributions having been paid during last six years, and it oscillates between a minimum of 120 days, when the period of contributions has been at least from 360 to 539 days, and a maximum of 720 days, when the period of contributions has been from 2 160 days or more. From 1<sup>st</sup> June 2002 the covering of the contingency for unemployment is "compulsory".

### **3. Unemployment assistance**

#### **3.1 Conditions for receipt**

For those unemployed, who are registered as job seekers, without any income of any kind which exceeds, with respect to monthly computation, 75 per cent of the minimum inter-professional wage, excluding the proportional part of the extra payments, and are in one of the situations described under. It consists of monetary unemployment assistance and the Social Security contribution corresponding to health coverage, family protection, and when appropriate, retirement.

The time and contribution to Social Security depends on the type of subsidy the worker is entitled to. There are the following types:

- Workers who have exhausted their unemployment benefits and have family responsibilities.
- Workers over 45 who have exhausted their unemployment benefits and who do not have family responsibilities.
- Spanish emigrant workers who, having returned from countries not pertaining to the European Economic Area or with which no agreement exists regarding unemployment insurance, can prove having worked a minimum of 12 months in the last six years in said countries since their last departure from Spain, and are not entitled to unemployment benefits.
- Workers who, having the legal unemployment situation, did not meet the minimum contribution period to be eligible for contributory unemployment benefits. In this case the job loss is not voluntary.
- Those released from prison.
- Workers who, after a medical revision, are declared fully capable or partially disabled due to recuperation from a situation of great disability, or absolute or complete permanent disability for usual work.
- Special subsidy for workers over 45 who have exhausted their 24-month unemployment benefits.
- Unemployment subsidy for workers over 52.

Family responsibilities will be understood to mean having to support a spouse and/or children under twenty-six years of age or those who are older and disabled, when the income of household, including that of the applicant, divided by the number of members which make up the household in question, does not exceed 75 per cent of the Minimum Inter-Professional Wage, excluding the proportional part of the extra payments. Apart from the applicant, there should be another member whose earnings were below 75 per cent of the Inter-Professional Wage, excluding the proportional part of the extra payments.

##### **3.1.1 Employment conditions**

### 3.1.2 *Contribution conditions*

## 3.2 *Calculation of benefit amount*

### 3.2.1 *Calculation of gross benefit*

It is 80 per cent of the IPREM (public indicator of incomes of many effects) from 01/07/2004, excluding the proportional part of bonus payments. The IPREM in 2010 was EUR 532.51€ per month.

#### 3.2.1.1 *Irregular additional payments [NEW ITEM]*

None

#### 3.2.1.2 *Obligations of family members [NEW ITEM]*

In case that the family responsibilities are required, they should be in place at the moment of the cause giving rise to the situation of the worker and during the period of time of receiving the allowance.

### 3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

It is means-tested. The condition to receive the benefit is that there are no individual earnings in the family over 75 per cent of the interprofessional minimum wage that was monthly EUR 633.30 in 2010. There are no disregards. The unemployment assistance is compatible with part-time work as an employee, if the worker chooses to keep receiving the allowance in a amount reduced in the same proportion as the number of daily working hours done (but always if the earnings do not overcome the 75 per cent of the interprofessional minimum wage).

## 3.3 *Tax treatment of benefit and interaction with other benefits*

Taxable. Not subject to social security contributions. Recipients for whom UA is the sole income source do not pay tax.

## 3.4 *Benefit duration and waiting periods*

There is a waiting period that consists in be registered as a job seeker during one month before the causing fact, except in the case of the workers who did not meet the minimum contribution period to be eligible for contributory unemployment benefits.

In general, the duration is six months, which may be extended for a further two periods of the same duration, up to a maximum of 18 months. In some cases, unemployment assistance duration can be extended to 24 or 30 months for claimants whose contributory unemployment benefit has run out and have family responsibilities.

For persons over 52, this benefit continues as long as is necessary, until the claimant either re-enters the workforce or reaches statutory retirement age, at which point he/she is eligible for the contributory retirement pension.

### **3.5 Treatment of particular groups**

#### **3.5.1 Young persons**

None.

#### **3.5.2 Older workers**

Those older than 45 who have exhausted their entitlement to contributory benefit for 24 months can receive from 80 to 133 per cent of IPREM, depending upon their family circumstances (*i.e.* children, etc.).

- With one relative to support or none at all: 80 per cent of IPREM
- With two relatives to support: 107 per cent of IPREM
- With three or more relatives to support : 133 per cent of IPREM.

The duration of this benefit is 6 months. Once the special assistance has run out, the claimant may obtain the corresponding unemployment assistance.

Workers aged 52 or over, having exhausted their UI benefits, may be entitled to prolonged unemployment benefits at a flat rate of 80 per cent of the IPREM. This benefit lasts until they reach retirement age.

#### **3.5.3 Others if applicable**

In the Autonomous Communities of Andalucía and Extremadura, due to high level of unemployment in the agriculture sector, casual agriculture workers who have worked 35 days, at least, in agriculture jobs during the 12 months previous to the unemployment situation can have the right to receive unemployment subsidies in some circumstances.

#### Income for casual agriculture workers. (*Renta Agraria*) :

Casual agriculture workers living in the Autonomous Communities of Andalucía y Extremadura who are registered as unemployed, have worked 35 days, at least, in agriculture jobs during the 12 months previous to the unemployment situation, meet other requirements and have not the right to receive the *Subsidy of casual agriculture workers*, can have the right to receive the unemployed subsidy called *Renta Agraria*. The incorporations that happen for the first time are registered in the new system named "*Renta Agraria*".

#### Programme of active income for job insertion(*Renta Activa de Inserción*):

The objective of this programme is to help long-term unemployed claimants over 45 who are in situations of need, to get back to work. In order to claim this benefit, unemployed claimants must have reached the age of 45, not to have the right to Unemployment Benefit or to Unemployment Assistance, have been registered at the Employment Office for at least 12 months and not to have any income exceeding 75 per cent of the interprofessional minimum wage , excluding the proportional part of bonus payments. Also those who met the following requirements may be eligible: disabled workers affected to a degree of 33 per cent or more and met all the requirements as set up above with the exception of being over 45 years of age; emigrants who have returned to Spain in the 12 months prior to receipt of the application

Reference date for all information is **July 1<sup>st</sup> 2010**

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and have worked at least 6 months abroad and met all the requirements with the exception of having been registered during the last 12 or more months; workers who have been victims of domestic violence and met all the requirements with the exception of age and having been registered during the last 12 months. The allowance is the equivalent of 80 per cent of IPREM and the duration is for a maximum of 11 months

#### **4. Social assistance**

There is a minimum income scheme called the *Ingreso Mínimo/Renta Mínima de Inserción* (Minimum Income for Insertion - MII) implemented in the 17 Autonomous Communities (regions). There is no specific national legislation defining it, but the general principle is to alleviate poverty by means of cash benefits for basic living needs. Each Autonomous Community has its specific law regulating the MII. In the year 2009 the basic amount for the holder of the MII is 408.08 €/per month and the budget spent: 619 254 159.22 €

The number of holders in the year 2009 was: 156858; the number of dependent members: 265349.

The MII consists of periodical subsidies, but with a specific duration (periodical renewal is required), provided that the requisites are maintained and fulfilled the compromise acquired in the corresponding agreement signed for his/her social and labour integration and following the measures of social on-going support established with every claimant.

The monetary amount is annually updated; as well as every year the funds are allocated in the budget through general laws of each Autonomous Community for financing the MII.

The region of Madrid is considered below as being representative:

The basic amount for the holder is 375.55 € per month and the budget spent: 47 680 083.67 € in the year 2009.

##### **4.1 Conditions for receipt**

The claimant must be available and actively seeking work. The minimum age is 25 or less if the claimant has dependants (although it can be 18 in certain regions), and the maximum age is 64 (old-age pension from 65). Qualifying households must pass an income test.

The claimants, who participate in social and labour measures for integration and in the social on-going support measures which are established with each claimant, receive a monthly income supplement.

In the region of Madrid the claimant is older than 25 and younger than 65. He or she has to be registered in the municipality of the region during the previous year of the application, set up an independent nuclear family 6 months previously, and lack of sufficient economic resources to face the basic needs for living.

Qualifying households must pass an income test, and they cannot have incomes in 2010 over the following amounts:

| Number of members and limit amount of income in € |        |
|---------------------------------------------------|--------|
| 1 person                                          | 375.55 |
| 2 people:                                         | 488.22 |

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|                  |                |
|------------------|----------------|
| <b>3 people</b>  | <b>563.33</b>  |
| <b>4 people</b>  | <b>638.44</b>  |
| <b>5 people</b>  | <b>713.55</b>  |
| <b>6 people</b>  | <b>788.66</b>  |
| <b>7 people</b>  | <b>863.77</b>  |
| <b>8 people</b>  | <b>938.88</b>  |
| <b>9 people</b>  | <b>1013.99</b> |
| <b>10 people</b> | <b>1089.1</b>  |

#### **4.2 Calculation of benefit amount**

##### **4.2.1 Calculation of gross benefit**

In 2010 the scale of the MII, depending on the number of dependent members in the family, is the following

| <b>Number of people</b>                    | <b>Monthly amount in €</b> | <b>Supplement in €</b> |
|--------------------------------------------|----------------------------|------------------------|
| <b>1<sup>st</sup> person</b>               | <b>375.55</b>              |                        |
| <b>2<sup>nd</sup> person</b>               |                            | <b>112.67</b>          |
| <b>3<sup>rd</sup> person and following</b> |                            | <b>75.11</b>           |

In any case, the amount per month will be over 532.51 € (amount equivalent to the IPREM for 2010) for families with more than one dependent member.

##### **4.2.1.1 Irregular additional payments [NEW ITEM]**

None

##### **4.2.1.2 Obligations of family members [NEW ITEM]**

None

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**4.2.2**      *Income and earnings disregards for benefit recipients and those starting a new job*

It is means-tested on a one-to-one basis, using gross family income excluding family benefits. There are no disregards

**4.3**      ***Tax treatment of benefit and interaction with other benefits***

Taxable, but the tax system is structured such that a year-long recipient will pay no tax

**4.4**      ***Benefit duration and waiting periods***

It lasts as long as the conditions are fulfilled

**4.5**      ***Treatment of particular group***

**4.5.1**      *Young persons*

None.

**4.5.2**      *Older workers*

None.

**4.5.3**      *Others if applicable*

None.

## **5. Housing benefits for rented accommodation**

Some regions (including Madrid) apply housing benefit schemes. A tax credit for housing expenses does exist (see section 10.1.1) at a national level.

### **5.1 Conditions for receipt**

### **5.2 Calculation of benefit amount**

#### *5.2.1 Calculation of gross benefit*

#### *5.2.2 Income and earnings disregards*

#### *5.2.3 Costs eligible for housing benefits*

### **5.3 Tax treatment of benefit and interaction with other benefits**

### **5.4 Treatment of particular groups**

#### *5.4.1 Young persons*

#### *5.4.2 Older workers*

#### *5.4.3 Others if applicable*

## **6. Family benefits**

A. Economic allowance for each child dependent from the beneficiary, aged under 18, or over that age if suffering an impairment of a degree equal to or higher than 65 percent, whatever the legal nature of the child's filiations, as well as fostered minors under family fosterage, be it permanent or pre-adoptive.

B. One-off lump-sum economic benefit for birth or adoption in the following cases: large families, lone-parent families (see point 9 "Lone-parent benefits") or disabled mothers.

C. One-off lump sum economic benefit for multiple birth or adoption.

D. One off lump sum economic benefit for birth or adoption.

### **6.1 Conditions for receipt**

A.-To have dependent children of less than 18 years of age or older disabled children affected to a degree equal to 65 per cent or more.

-For not disabled children: Not to receive yearly income over EUR 11264,01 for the year 2010.

-For disabled children: No limit of economic resources

B.-For children who has been born or adopted from November 16<sup>th</sup> 2007

-In case of disabled mothers, they have to be affected by a disability of 65 per cent or more.

-The same limits for the incomes than in benefit A, with the difference between large families and the rest of the families.

C-Children born in multiple births, if their number is equal to or higher than two, as well as adopted children if their number is equal to or higher than two, originate the entitlement to this benefit. The birth or legalization of the adoption have to take place in Spain, or, if abroad, it should be accredited that the born or adopted child is immediately going to be integrated in the family nucleus residing in Spain.

· -In cases of multiple birth or adoption, if one of the children has a disability equal to or higher than 33 percent, it will be taken into account as two.

-There is no limit of incomes.

D.- Birth allowance or birth benefit, for each born or adopted child in Spanish territory since July, 1<sup>st</sup> 2007.

-There is no limit of incomes.

### **6.2 Calculation of benefit amount**

#### **6.2.1 Calculation of gross benefit**

A.-In 2010, the amount is the following, per dependent child, depending on the situation:

- Children under 18:
  - a) No disabled children under 3: EUR 41,66 per month (EUR 500 per year) (from November 16<sup>th</sup> 2007).
  - b) No disabled children between 3 and 18: EUR 24.25 per month (EUR 291 per year).

- c) Disabled to a degree of 33 per cent or more: EUR 83,33 per month (EUR 1000 per year).
- Children over 18:
  - a) Disabled to a degree of 65 per cent or more: EUR 339.70 per month (EUR 4076.40 per year).
  - b) Disabled to a degree of 75 per cent or more and needing the help of another person: EUR 509.60 per month (EUR 6115.20 per year).

The right to entitlement will be the total benefit in the case of disabled children, without having into account the level of family income.

In the case of children no disabled, the right to entitlement will be:

- The receipt of the total benefit, provided it does not exceed the upper limit laid down of - 11264,01 euros/year, increased by 15 per cent, namely 1689,60 euros/year, for each child after the second one. For large families, the limit will be 16953,05 euros when there are 3 dependent children, increasing by 2745,93 euros for each dependent child after and including the fourth child.

The benefit will be reduced if the income is above that specified in the previous item but at the same time below the amount found adding to this figure the amount of the subsidy for the number of children who are not disabled(maximum limit).

The following table allows us to establish the limits for maximum integrated benefit and for maximum income depending on the number of dependent children.

| Number of dependent children | Limit for maximum integrated benefit (EUR) | Maximum limit of income (EUR) |
|------------------------------|--------------------------------------------|-------------------------------|
| 1                            | 11264,01                                   | 11555,01                      |
| 2                            | 12953,61                                   | 13535,61                      |
| 3*                           | 16953,05                                   | 17826,05                      |
| 4                            | 19698,98                                   | 20862,98                      |

\* From 3 dependent children and for large families.

In any case, in order to have the right, the difference between two items must be equal or superior to EUR 24.25 per child/year.

B. One off payment of EUR 1000.

C. An amount paid in one-off payment according to the number of children born:

-2 children, 4 times the monthly amount of the Minimum Inter-professional Wage, EUR 2533.20 for the year 2010.

-3 children, 8 times the Minimum Inter-professional Wage, EUR 5066.40 for the year 2010.

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-4 children and more, 12 times the Minimum Inter-professional Wage, EUR 7599.60 for the year 2010.

D. One off payment of EUR 2500 for each child born or adopted.

6.2.1.1 *Irregular additional payments* **[NEW ITEM]**

None

6.2.2 *Income and earnings disregards*

A. The right to entitlement will be the total benefit in the case of disabled children, without having into account the level of family income.

C and D. These benefits doesn't take into account the incomes of the recipient.

**6.3 *Tax treatment of benefit and interaction with other benefits***

Not taxable

**6.4 *Treatment of particular groups***

None.

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

## **7. Childcare for pre-school children**

Pre-primary education is conceived as a single education-oriented level with structural and curricular development similar to the rest of educational levels in Spain. It caters for children from 0 to 6 years and it is divided into two three-year stages. The second stage (children aged 3 to 6) is free of charge both in public and government dependent private schools.

In 2009/2010, the net enrolment rate in pre-primary education is 26,7 % (401.582 children) for the under 3 years and concerns 99,2 % (1,420.650 children) of children from 3 to 5 years (Source: Non-university education Statistics - Provisional data 2009-10. Ministry of Education)

There is also care provision for children outside the education system. In 2009 the 46,7 % of under 3 years children received care provision in an institution outside of their household (Source: Community Statistics on Income and Living Conditions – National Institute of Statistics/Eurostat)

A progressive increase of the places offered for integrated education and care for children aged 0 to 3 and their inclusion in the education system is a measure of the National Reform Program. In this way, the Ministry of Education is developing the Plan Educa3, in order to increase the places offered and their inclusion in the education system. This program will invest 1.087 million Euros between 2008 and 2012. The Ministry and the Autonomous Communities contribute 50% each one to this program. In 2010 103,0 million euros were allocated by the Ministry of Education for Pre-Primary Education, of which 101,6 million were addressed for building new pre-primary school and adapting existing schools. Apart from Plan Educa3 the Spanish Government paid directly to the city councils 236,2 million euros for the building of new pre-primary schools in 2009 and 2010.

Compulsory schooling starts at age 6 in the first grade of primary education.

### **7.1 Out-of-pocket childcare fees paid by parents**

Pre-primary education in public and government dependent private schools for children from 3 to 5 years is free of charge.

There are a wide variety of situations throughout the different autonomous or local administrations regarding the expenditure, in centers that attend to children under 3 years of age, during the working day of their parents. Therefore it is difficult to estimate an average fee. Despite this, a relationship exists between the amount of fees paid by the families according to the level of income and/or the number and ages of children in care.

Almost all the Autonomous Communities have a specific allocation of public places that are subsidized and are, consequently, of lower cost for the families. The level of income of the family group is subject to the establishment of an appropriate fee. Furthermore, to determine the fees payable, a scale in function of various criterion is also established including if; a “family group” is based upon there being a lone-parent, there are siblings in the center, both parents work, etc.

It is difficult to generalize, but it could be considered that on average the parents paying for places in public centers pay 1/3 of the value for the place, and the remaining 2/3 is covered by civil services (local corporations, autonomous and/or central government).

In the private centers the family must pay the total cost.

## **7.2 Child-care benefits**

[cash benefits received by parents for children in childcare]

### **7.2.1 Conditions for receipt**

### **7.2.2 Calculation of benefit amount**

#### **7.2.2.1 Calculation of gross benefit**

#### **7.2.2.2 Income and earnings disregards**

### **7.2.3 Tax treatment of benefit and interaction with other benefits**

For the mothers workers (and lone- parents ) with children under 3 years, there are a **general deduction in the tax on the income of individuals for a amount of EUR 1,200 per year**. Some Autonomous Communities establish additional deductions for childcare fees of children under 3 years in centers.

### **7.2.4 Treatment of particular groups**

[e.g. lone parents, immigrants, part-time employees, self-employed, sick or disabled]8. Employment-conditional benefits

## **8.1 Conditions for receipt**

The new labor market reform enacted in June by Royal Decree-Law 10/2010, of June 16, converted into Law 35/2010 of 17 September, sets up a more rigorous and selective policy as regards the current social security contributions bonus system.

In this sense, the current SS contributions bonus system focuses on young people up to 30 years and in low-skilled workers of 45 years old with a prolonged unemployment stay. Alongside these two groups, the system maintains the previous regulation of the SS contributions bonus system directed to people with disabilities, new self-employed, labor market insertion companies and victims of gender violence, along with those that are intended to maintain the activity of workers over 59 years.

The table below shows the current Social Security contributions bonus system in force since July 2010.

## **NEW SYSTEM OF PROMOTION OF THE EMPLOYMENT. 2010**

### **Law 35/2010, of 17 september**

**(Bonuses awarded to the employer for recruitments)**

| GROUPS                                                                                                                                      | DESCRIPTION                                   | ANNUAL AMOUNT (EUR)                                                                                                                                                           |                              |                                               |                                 | LENGTH                          |
|---------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------|-----------------------------------------------|---------------------------------|---------------------------------|
| BONUSES AWARDED TO RECRUITMENTS FOR AN INDEFINITE PERIOD OF TIME                                                                            |                                               |                                                                                                                                                                               |                              |                                               |                                 |                                 |
| Older than 45                                                                                                                               |                                               | 1.200/1.400 if women                                                                                                                                                          |                              |                                               |                                 | 3 years                         |
| Young workers                                                                                                                               | Between 16 and 30                             | 800/1.000 if women                                                                                                                                                            |                              |                                               |                                 | 3 years                         |
|                                                                                                                                             | Disabled persons (Law 43/2006)                |                                                                                                                                                                               | Disabled women (art. 2.2.3). | Older than 45 with a disability (art. 2.2.3). | During the entire contract life |                                 |
|                                                                                                                                             | - In general (art. 2.2.1).                    | 4.500                                                                                                                                                                         | 5.350                        | 5.700                                         |                                 |                                 |
|                                                                                                                                             | - In case of a severe disability (art.2.2.2.) | 5.100                                                                                                                                                                         | 5.950                        | 6.300                                         |                                 |                                 |
| BONUSES AWARDED IN EXCEPTIONAL CASES OF TEMPORARY RECRUITMENT (Law 43/2006)                                                                 |                                               |                                                                                                                                                                               |                              |                                               |                                 |                                 |
| Disabled persons hired with a temporary employment promotion contract. (art. 2.2.4)                                                         |                                               | Men younger than 45                                                                                                                                                           | Men older than 45            | Women younger than 45                         | Women older than 45             | Length                          |
| - In general                                                                                                                                |                                               | 3.500                                                                                                                                                                         | 4.100                        | 4.100                                         | 4.700                           | During the entire contract life |
| - In case of a severe disability                                                                                                            |                                               | 4.100                                                                                                                                                                         | 4.700                        | 4.700                                         | 5.300                           | During the entire contract life |
| Gender violence victims and domestic violence victims. (art. 2.4).                                                                          |                                               | 600                                                                                                                                                                           |                              |                                               |                                 | During the entire contract life |
| People in situation of social exclusion (art. 2.5).                                                                                         |                                               | 500                                                                                                                                                                           |                              |                                               |                                 | During the entire contract life |
| BONUSES AWARDED FOR THE MAINTENANCE OF THE PERMANENT EMPLOYMENT (Law 43/2006)                                                               |                                               |                                                                                                                                                                               |                              |                                               |                                 |                                 |
| Contracts for an indefinite period of time for workers older than 60 who have been working for the employer for 5 or more years.(art. 4.1). |                                               | 50 per cent of the employer contribution to Social Security for common contingencies, except in case of temporary incapacity which would be increased 10% annually until 100% |                              |                                               |                                 | During the entire contract life |

| <b>BONUSES AWARDED TO RECRUITMENTS OF PERSONS WITH A DISABILITY FOR THE SPECIAL CENTERS OF EMPLOYMENT (Law 43/2006)</b> |                                                                                                                                                           |                                 |
|-------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------|
| Permanent or temporary contracts (art. 2.3).                                                                            | 100 per cent of the employer contributions to Social Security, including those for work accidents and occupational illnesses and joint collection quotas. | During the entire contract life |

#### **Other Aids to promote employment.**

- Young self-employed workers <30 at the beginning of the activity: A 30% reduction in the minimum contribution base for 30 months (Law 20/2007, 11th of July).
- Asisitance for dissabled workers to settle as self-employer workers: Bonuses awarded of 50% in the minimum contribution base for at the most 5 years (Law 43/2006, DF 6ª).
- Support in the recruitment of labour trainers: A fixed subsidy which depends on the number of workers in the company, type and degree of the disability: 6.600, 4.000 y 2.500 euros/year(Real Decreto 870/2007, de 2 de julio).
- Permanent/Temporary hiring of people in social exclusion in insertion companies: Bonuses awarded of the contribution to Social Security with an amount of 850 € per year, maximum 3 years. (Ley 44/2007, de 13 de diciembre, para la regulación del régimen de las empresas de inserción).
- Hiring in permanent contracts for workers over 59 or those who have been working 4 or more years in the same company: 40% reduction in the contribution to Social Security, maximum 1 year (Ley 42/2006, de 28 de diciembre, de Presupuestos Generales del Estado).
- Permanent hirinf of unemployed workers with family responsibilities: bonuses awarded of 1.500 €/year.
- Capitalization of the unemployment benefit to promote self-employment: Increase up to 60% of the total benefit (it was the 40% befote).
- Contracts for training with young workers: bonus of 100% of contribution to Social Security during the entire contract life.

## **8.2 Calculation of benefit amount**

### **8.2.1 Calculation of gross benefit**

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

**8.3      *Tax treatment of benefit and interaction with other benefits***

**8.4      *Benefit duration***

**8.5      *Treatment of particular group***

8.5.1      *Young persons*

8.5.2      *Older workers*

8.5.3      *Others if applicable*

## **9. Lone-parent benefits**

One-off lump-sum economic benefit for birth or adoption in lone-parent families (see point 6. Benefit B).

### **9.1 Conditions for receipt**

-For children who has been born or adopted from November 16<sup>th</sup> 2007

-Not to receive yearly income over EUR 11264,01.

### **9.2 Calculation of benefit amount**

#### **9.2.1 Calculation of gross benefit**

-One off payment of EUR 1000.

-The receipt of the total benefit, provided it does not exceed the upper limit laid down of - 11264,01 euros/year, increased by 15 per cent, namely 1689,60 euros/year, for each child after the second one. For large families, the limit will be 16953,05 euros/year when there are 3 dependent children, increasing by 2745,93 euros for each dependent child after and including the fourth child.

The benefit will be reduced if the income is above that specified in the previous item but at the same time below the amount found adding to this figure the amount of the subsidy for the number of children who are not disabled(maximum limit).

In any case, in order to have the right, the difference between two items must be equal or superior to EUR 24.25 per child/year.

#### **9.2.1.1 Irregular additional payments [NEW ITEM]**

None

In cases where the absent parent does not pay any child support/alimoniesThe amount of the child support/alimony is established by judicial procedure, in case of not receive this payment, the lone parent has to initiate judicial proceedings. This situation is taken into account to these benefits.

#### **9.2.2 Income and earnings disregards**

None

### **9.3 Tax treatment of benefit and interaction with other benefits**

Not taxable

### **9.4 Benefit duration**

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

**9.5      *Treatment of particular group***

None

9.5.1      *Young persons*

9.5.2      *Older workers*

9.5.3      *Others if applicable*

[e.g. immigrants, part-time employees, self-employed, sick or disabled]

## **10. Tax system**

### **10.1 Income tax**

#### *10.1.1 Tax allowances and credits*

##### *10.1.1.1 Standard allowances*

*Basic reliefs:* Married couples filing jointly may claim an allowance of EUR 3 400. This figure amounts to EUR 2 150 for heads of households.

*Maternity tax credit:* a non-wastable tax credit addressed to working females with children under 3 years of age up to EUR 1 200

*Birth allowance or birth benefit:* EUR 2.500 for each born or adopted child in Spanish territory since July, 1<sup>st</sup> 2007.

*Relief for social security contributions:* All these payments are fully deductible.

*Work related expenses:* Net work income (gross income less employee social security contributions) may be reduced according to the following rules:

- Taxpayers with net employment income equal or less than EUR 9 180: EUR 4 080
- For those with a net employment income between EUR 9 180.01 and EUR 13 260: EUR 4080 less the result of multiplying by 0.35 the difference between net income and EUR 9180.
- Taxpayers with net income over EUR 13 260 or non employment income over EUR 6 500: EUR 2 652.
- *Work related tax deduction:* working taxpayers with a tax base under EUR 8 000 may deduct EUR 400. The amount is phased-out as taxpayer's tax base increases according to the following formula:  $\text{EUR } 400 - 0,1 * (\text{tax base} - \text{EUR } 8\,000,01)$ , reaching a zero value when taxpayer's tax base reaches EUR 12 000. Prior amount will not exceed the result of applying the average tax rate to net work income less work related expenses allowance

As a result of the application of the above rules, net income cannot become negative

##### *10.1.1.2 Exempt Income*

- The base amount is EUR 5 151 per taxpayer. The same amount is granted for family units filing jointly. Taxpayers aged over 65 years may add EUR 918 to the former amount. Those aged over 75 years may claim additionally EUR 1 122.
- Dependent children (under 25 years): EUR 1 836 for the first dependent child; EUR 2 040 for the second one; EUR 3 672 for the third, and EUR 4 182 for the fourth child.

- Child care allowance: an additional allowance of EUR 2 244 for each of the above dependent children under 3 years of age.

Child allowances have to be shared equally between spouses when they file separately.

#### 10.1.2 *Income tax schedule (central government income tax)*

General rates of tax – resident individuals:

| Taxable income<br>( EUR) | Tax at the lower limit<br>( EUR) | Tax rate on taxable income in<br>excess of the lower limit (%) |
|--------------------------|----------------------------------|----------------------------------------------------------------|
| 0 – 17 707.20            | 0                                | 12.00                                                          |
| 17 707.20 – 33 007.20    | 2 124.86                         | 14.00                                                          |
| 33 007.20 – 53 407.20    | 4 266.86                         | 18.50                                                          |
| Over 53 407.20           | 8 040.86                         | 21.50                                                          |

#### 10.1.3 *State and local income taxes*

Regional rates of tax – resident individuals:

| Taxable income<br>(EUR) | Tax at the lower limit<br>(EUR) | Tax rate on taxable income in<br>excess of the lower limit (%) |
|-------------------------|---------------------------------|----------------------------------------------------------------|
| 0 – 17 707.20           | 0                               | 12.00                                                          |
| 17 707.20 – 33 007.20   | 2 124.86                        | 14.00                                                          |
| 33 007.20 – 53 407.20   | 4 266.86                        | 18.50                                                          |
| Over 53 407.20          | 8 040.86                        | 21.50                                                          |

### 10.2 *Treatment of family income*

As a general rule, the tax unit is the individual. Nevertheless, families have the options of being taxed:

- As married couples filing jointly on the combined income of both spouses and dependants.
- As heads of households (only unmarried or separated individuals with dependents).

### 10.3 *Social security contributions and payroll taxes*

#### 10.3.1 *Contributions payable by employees and benefit recipients*

Social Security contributions are assessed on the basis of employees' gross earnings taking into account certain ceilings of gross employment income. In 2010 these ceilings are:

- Lower ceiling: EUR 8 868,8

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- Upper Ceiling: EUR 38 376,0

These ceilings are based on a full-time job. For part-time workers, ceilings are proportional to the real hours worked (the tax equations used for this Report do not take into account the lower ceiling).

- 4.7 per cent for pensions/sickness and invalidity.
- 1.55 per cent for unemployment (general rate)
- 0.1 per cent for training.

For a person on unemployment insurance, the total social security contributions amount to 65 per cent of 4.7 per cent of reference earnings, with the same lower and upper ceilings. The rest of social security contributions for pensions and sickness (up to 28.3 per cent of reference earnings) are paid by the Public Service of Public Employment (Servicio Público de Empleo Estatal). This public body also pays contributions for individuals on unemployment assistance. Contributions are neither payable over family benefits, nor over social assistance.

#### *10.3.2 Contributions payable by employers*

- |                                           |               |
|-------------------------------------------|---------------|
| • Old age pension/sickness and disability | 23.6 per cent |
| • Unemployment (general rate)             | 5,50 per cent |
| • Wages fund                              | 0.2 per cent  |
| • Professional Training                   | 0.6 per cent  |

#### *10.3.3 Payroll taxes*

[This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. See Annex for details].

### **10.4 Treatment of particular group**

[for income taxes, social contributions and payroll taxes]

#### *10.4.1 Young persons*

#### *10.4.2 Older workers*

Reference date for all information is **July 1<sup>st</sup> 2010**

Country chapter for OECD series *Benefits and Wages* ([www.oecd.org/els/social/workincentives](http://www.oecd.org/els/social/workincentives))

10.4.3 *Others if applicable*

[e.g. immigrants, self-employed, sick or disabled, pensioners]

## **11. Part-time work**

### **11.1 *Special benefit rules for part-time work***

Workers which provide services during a number of hours per day, per month or per year less than the working day of a full-time worker or, in absence of this, less than the maximum legal working day in permanent and temporary contracts.

### **11.2 *Special tax and social security contribution rules for part-time work***

In general, the monthly contribution base to Social Security is the effective payment received in accordance with the hours worked.

Specifically, the bonuses awarded of the Programme for the Promotion of employment (see 8.1) can be applied with the following rate:

- 100% If the working day is  $\geq \frac{3}{4}$  of the full-time working day
- 75% If the working day is  $\geq \frac{1}{2}$  of the full-time working day
- 50% If the working day is  $\geq \frac{1}{4}$  of the full-time working day
- 25% If the working day is  $< \frac{1}{4}$  of the full-time working day.

## **12. Policy developments**

### **12.1 Policy changes introduced: 2<sup>nd</sup> July 2009 – 1<sup>st</sup> July 2010**

The impact of economic crisis in Spain has been intense. In the context of the economic adjustment measures taken in May 2010, the economy seems to show a sign of slow recovery, confirming that for the first time after seven consecutive quarters of decline, in the third quarter of 2010 there has been a small increase in annual GDP of 0.2%. The Ministry of Finance macroeconomic projections foresee that GDP will fall by 0.3% this year, to increase by 1.3% in 2011. Employment, meanwhile, will fall by 2.2% this year while it is expected a net job creation in 2011.

In the third quarter of 2010 (latest data available from the Labor Force Survey) the workforce reaches 23,121,500 people, the employed population stood at 18,546,800 and therefore unemployment at 4,574,700 people. For the population aged 16 to 64 years, the activity rate stands at 74.5% and employment rate 59.7%, rising to 62.8% for people aged 20 to 64 years, targeted population of the new Strategy Europe 2020. The unemployment rate stood at 19.8% of the workforce compared to 9.6% in the first quarter of 2008. Among employees, the temporary employment rate is 25.6% and the rate of part-time employment reached 13.4%.

As far as the labor market is concerned, a new labor reform was passed in June; the final text was approved by Parliament on September 9, Law 35/2010, on Urgent Measures for Labor Market Reform. The legal reform has the triple objective of reducing duality in the labor market, strengthening the mechanisms of internal flexibility of companies and improving employment opportunities for unemployed people with integration difficulties in the labor market.

Law 35/2010 establishes a set of measures to correct the irregularities observed in the labor market. The measures taken are aimed at correcting the so-called bottlenecks that hinder the creation of stable employment. The measures are directed on three fronts. The reduction of labor market segmentation and temporality, expanding the groups with which a labor contract to promote indefinite contracts may be held, and to clarify the causes for dismissal. Strengthening the internal flexibility of companies by supporting the employment adjustment by way of suspension of the contract and reduced working hours compared to extinction. And finally, improving employment opportunities for unemployed people, with special attention to young people and workers over 45 years with low skills and prolonged stay in unemployment, subsidizing their employment, while establishing a new public/private cooperation framework as regards labor intermediation, incorporating to private employment agencies.

For its part, during the month of August the temporary Programme for Unemployment Protection and Insertion (PRODI), regulated in Law 14/2009, of 11 November was extended by six months. This programme is addressed to unemployed workers who have exhausted unemployment benefit and with income below 75% of SMI in a monthly basis.

In parallel, the Government proceeded to regulate a specific system of protection for stoppage of work for the self-employed, so far excluded from this benefit.

In 2010 the following tax changes apply:

- The Birth or Children Adoption tax credit will be suppressed as of 1 January 2011 (Royal Decree 8/2010)
- Since January 2010 the Work related tax credit is entirely granted for working taxpayers under EUR 8 000, and then it is phased-out up to a working taxpayer's taxable base of EUR 12 000.
- A new temporary tax credit (2010 – 2012) for refurbishing works in taxpayer's own dwelling entered into force in April 14<sup>th</sup> 2010.

## **12.2 Future policy changes announced since 1<sup>st</sup> July 2009**

Within six months, pursuant to Act 35/2010, business and labor organizations should reach an agreement to reform the current system of collective bargaining. In the absence of such agreement the Government, after consultation, shall take appropriate initiatives.

Parallel to the adoption and development of labor market reform, it is expected to undertake a review of active employment policies, conceived as a key element to address the negative effects of the crisis on the labor market.

Active employment policies will be reviewed, from the perspective of Central Government regulations, to proceed to its adaptation to current reality of the labor market by promoting the improvement of its quality and efficiency, so far focusing too much on subsidies and insufficient recruitment policy aimed at training. This process will seek the involvement of social partners and Regional Governments as well.

Under the Toledo Pact, with the backing of all the political and social forces, the Government plans structural reforms on the pension system in early 2011.

## **ANNEX DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.**

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

### **Social security contributions to general government**

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce.

Reference date for all information is **July 1<sup>st</sup> 2010**

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Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

### **Social security contributions paid to institutions outside general government**

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

### **Payroll taxes**

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.